

# Unconditional Cash Transfers to Women (UCTW) in India

A Takshashila Policy Analysis

**PGP Public Policy 10**

**Policy Deconstruction Assignment Group B**

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## Table of Contents

|                                                          |    |
|----------------------------------------------------------|----|
| Table of Contents                                        | 2  |
| 1. Position: Strongly Oppose (NO)                        | 3  |
| 2. Executive Summary                                     | 3  |
| 3. The Policy in Detail                                  | 4  |
| 4. Policy Discussion, Outcomes and Tradeoffs             | 5  |
| 4.1 Fiscal outcomes                                      | 5  |
| 4.2 Administrative outcomes                              | 6  |
| 4.3 Welfare and agency outcomes                          | 7  |
| 4.4 Political-economy outcomes                           | 8  |
| 4.5 Welfare state and Policy Trade-off                   | 8  |
| 5. Assess National Interest                              | 9  |
| 6. Recommendations                                       | 10 |
| 7. Anticipated resistance, and why                       | 11 |
| 8. Conclusion                                            | 11 |
| APPENDIX                                                 | 12 |
| Step 1 — Understand the Policy and Analyze Objectives    | 12 |
| Step 2 — Stakeholder Mapping                             | 13 |
| Step 3 — Select Evaluation Criteria (Test of Values)     | 14 |
| Step 4 — Project the Outcomes                            | 15 |
| Step 5 — Construct the Outcomes–Objectives Matrix        | 17 |
| Step 6 — Categorise the Position and Confront Trade-offs | 18 |
| References (APA style)                                   | 18 |

## 1. Position: Strongly Oppose (NO)

Unconditional Cash Transfers to Women (UCTW) has spread to more than a dozen Indian states as a welfare measure in the past decade. It is fundamentally flawed as an economic and social welfare instrument. The fiscal burden and opportunity cost of UCTW outweigh its projected benefits.

## 2. Executive Summary

Since Assam's Orunodoi launched in 2020, more than twelve Indian states have adopted unconditional, recurring cash transfers to women. The twelve largest schemes alone commit an estimated ₹1.7 lakh crore in budgeted expenditure for FY 2025-26 (Economic Survey 2025-26). For scale, this number is approximately the same as the combined union and state budget for VB-GRAM G. This brief evaluates these schemes as a single policy referred to as UCTW.

UCTW is a fundamentally flawed instrument. There is no economic justification for government intervention because there is no market failure. First, there is a problem of identifying which market. For health, education, and productivity driven by UCTW, there is no credible positive externality of meaningful size. Even if information failure is at play, unconditional cash is not a merit good. Absent a market failure, UCTW is better understood as government failure. It is a politically convenient instrument substituting for capital investment and structural reforms in health, education, and employment access.

1. Fiscal costs are large and recurring. The Economic Survey itself warns that such unconditional transfers “risk widening deficits” and recommends shifting toward conditional transfers tied to health, education, and skills.
2. There is evidence for administrative leakage. Maharashtra's own beneficiary-verification drive found that 92 lakh recipients (roughly 38% of the scheme's rolls) were ultimately ineligible. They had collectively drawn approximately ₹14,000 crore before removal. The Comptroller and Auditor General (CAG) separately flagged ₹3,541 crore in unauthorised excess expenditure in a single year (Outlook India, 2026; OpIndia, 2026).
3. The policy's headline claims are women's agency, intergenerational human capital, and productivity gains. The evidence behind these outcomes is weak, mixed, or measurable only as a distant higher-order effect, while the fiscal cost is immediate and certain.
4. The policy is a political spiral. There is no incentive to reverse it, but a great incentive to double down. e.g. in West Bengal 2026 elections, BJP's manifesto promised the Matrishakti Bharosa Card at ₹3,000/month where TMC's existing Lakshmir Bhandar paid ₹1,500–1,700/month. The costs will keep compounding even as benefits plateau.
5. The same rupees are demonstrably better spent on instruments that address an actual market failure such as health, education, and skilling. These are not mere alternatives, but a prerequisite for a consumption stimulus policy like UCTW to succeed at all.

UCTW does, trivially, provide real, short-term consumption relief to poor households. However, the unconditional, largely untargeted, and fiscally spiralling design that is now operating at scale across India is a poorly evaluated policy with negative unintended consequences and should be strongly opposed.

### 3. The Policy in Detail

#### Provisions

1. *Eligibility*: Adult women (21-60/65), representative of the working-age population. Household income ceilings (commonly up to ₹2.5 lakh a year), exclusions for taxpayers, government employees, and pensioners. Some states pick the “woman head of household” (Karnataka, Tamil Nadu); some go near-universal (Delhi’s announced scheme).
2. *Quantum*: ₹833 to ₹3,000 a month; most states have converged around ₹1,000-1,500. Karnataka and Haryana have ₹2,000 a month. West Bengal has implemented ₹3,000 a month since 2026.
3. *Delivery*: DBT to Aadhaar-linked bank accounts; enrollment through camps, apps, anganwadis and panchayats.
4. *Conditionality*: nominal or none; Karnataka and Maharashtra have done eligibility verification drives.
5. *Financing*: state own-revenue and borrowing, usually outside a statute. Most schemes run by executive order or budget line, not by law, which makes them revocable and, importantly, unanchored to any fiscal rule.

#### Scope and scale

The 16th Finance Commission’s data show UCTs to women and farmers grew to about ₹2.16 lakh crore (about 0.7% of GDP) by FY2026 BE. PRS finds six of the 12 states run revenue deficits; excluding UCT outlays improves their revenue balance. Maharashtra’s scheme alone was originally budgeted around ₹46,000 crore. Assam and West Bengal raised allocations 31% and 15% year on year.

#### Potential impact

A ₹1,500 transfer to a family of five with ₹5,000-7,000 monthly income is a 20-30% income boost. This is economically material for the family, but for the state’s finances, it is a permanent commitment representing a significant share of state expenditure that crowds out capex, health, and education. These account for 3-12% of state revenue (Thakur, 2025). For West Bengal’s Annapurna Bhandar, this is 10-11% of revenue receipts. (PRS)

## 4. Policy Discussion, Outcomes and Tradeoffs

### 4.1 Fiscal outcomes

The twelve largest state schemes already commit an estimated ₹1.7 lakh crore in FY 2025-26 budgeted expenditure (see Appendix, Table 1; PRS Legislative Research, 2025; Economic Survey 2025-26). This is recurring revenue expenditure, not capital investment. It creates no durable asset. The Economic Survey itself warns that such unconditional transfers "risk widening deficits," and PRS reports that six of the twelve implementing states are simultaneously running revenue deficits. This means that the transfers are, in effect, partly debt-financed rather than funded entirely from current receipts (PRS Legislative Research, 2025).

The political economy of these schemes also shows a self-reinforcing escalation: transfer amounts have risen from ₹833–1,000 per month in the earliest schemes to ₹2,100–2,500 in the most recent ones. West Bengal's successor scheme, Annapurna Bhandar, is now implemented at ₹3,000 per month, which is more than double its own starting amount. There is no evidence that outcomes are improving in proportion to cost. The structural pattern is one of continuous upward pressure on transfer size with no comparably strong mechanism to contain it until a fiscal crisis forces correction. A useful diagnostic here is the interaction between fiscal space and administrative capacity, as presented in the matrix below. A state can have ample budgeted fiscal space for a scheme and still fail to convert that spending into outcomes if beneficiary identification, grievance redress, and monitoring capacity are weak. Fiscal capacity does not automatically produce policy capacity. As the Maharashtra evidence below shows, it is precisely this combination of available money and under-built verification capacity that has produced the policy's largest documented failure.

| Fiscal space →<br>Administrative capacity ↓ | Abundant Fiscal Space        | Constrained Fiscal Space |
|---------------------------------------------|------------------------------|--------------------------|
| High capacity                               | Scalable welfare system      | Efficient prioritisation |
| Low capacity                                | High spending, weak delivery | Minimal/fragile delivery |

Scenario Matrix 1: Fiscal space × Administrative capacity

## 4.2 Administrative outcomes

Maharashtra's Mukhyamantri Majhi Ladki Bahin Yojana offers the clearest available evidence of what happens when a transfer of this design meets ordinary state administrative capacity. A state-wide verification drive that began in September 2025 removed 92 lakh beneficiaries (about 38% of the scheme's 2.46 crore rolls) after finding them ineligible. The grounds for ineligibility include age above 65, four-wheeler ownership, dual-scheme enrolment, or a household member in government employment. Officials estimate these since-removed beneficiaries collectively received close to ₹14,000 crore before payments stopped. Separately, between roughly 14,300 and 29,000 men were found to have fraudulently registered as women to claim the transfer (Outlook India, 2026; The Federal, 2026).

The CAG's State Finances Audit Report 2024-25 additionally found that the implementing department had spent ₹33,237 crore against an authorised budget of ₹29,693 crore, an unexplained excess of ₹3,541 crore. ₹15,586 crore withdrawn in a single quarter had been parked in Virtual Personal Deposit Accounts rather than disbursed, a classic signature of funds drawn to meet a budget deadline rather than an actual payment need (OpIndia, 2026). This is not presented as evidence of one badly run scheme. Rather, this is evidence that the administrative capacity required to correctly identify the intended beneficiary (verified income and asset checks, cross-department de-duplication, real-time eligibility monitoring) is precisely the capacity layer Indian state administration does not yet reliably have. A strong banking infrastructure, or the capacity to move money (Aadhaar, DBT, UPI) is not sufficient. A policy is only as sound as its weakest capacity layer. Here, that is beneficiary identification, not disbursement. Notably, independent estimates of the scale of leakage do not even agree with one another: official verification put the figure at approximately ₹14,000 crore, while a Right to Information-based analysis separately reported ₹9,605 crore paid to 92 lakh ineligible beneficiaries over two years, against 6.4 crore excess credit entries (Scroll.in, 2026). That credible estimates diverge by thousands of crores is itself evidence of a monitoring and evaluation capacity gap, regardless of whatever the true figure turns out to be.

### 4.3 Welfare and agency outcomes

The most consistently supported effect of UCTW is short-term consumption smoothing i.e. modestly higher reported spending on food and some increase in women's control over small discretionary purchases. This is a genuine benefit, and this brief does not deny it. But the chain of claims built on top of it — that consumption supports compounds into durable bargaining power, labour-force participation, productivity, or intergenerational human-capital gains — rests on markedly weaker evidence. Indian and cross-country evidence on cash transfers and female labour-force participation is mixed to weak, and several documented channels actively work against the empowerment narrative, including capture of transferred funds by male household members and reduced incentive to remain in low-paid formal work once a reliable floor income exists.

Measured against its own evidence base, UCTW is better described as consumption-support welfare than as transformative welfare, and a consumption-support programme of this fiscal scale is a substantially harder case to justify than a transformative one would be.

| Fiscal space →<br>Economic Opportunity ↓ | Abundant Fiscal Space        | Constrained Fiscal Space   |
|------------------------------------------|------------------------------|----------------------------|
| Strong Economic Opportunity              | Empowerment & Transformation | Productive but Constrained |
| Weak Economic Opportunity                | Welfare Security Trap        | Fiscal & Welfare Stress    |

Scenario Matrix 2: Fiscal space × Economic Opportunity

## 4.4 Political-economy outcomes

Once introduced, a transfer of this kind becomes politically costly to withdraw or even freeze, in a way that asymmetrically favours expansion over correction.

- West Bengal illustrates the expansion side: ahead of the 2026 state elections, competing parties contested how much further to raise Lakshmir Bhandar/Annapurna Bhandar payments rather than whether to retain the scheme at all, consistent with transfer amounts that have already more than doubled since its 2021 launch.
- Maharashtra illustrates the correction side: the state government has indicated it will not attempt to recover funds already paid to the roughly 86 lakh ineligible beneficiaries beyond male and government-employee claimants, for fear of the political cost of doing so (Outlook India, 2026) — demonstrating this asymmetry in practice, as the state can absorb a ₹14,000 crore misallocation rather than be seen reclaiming money from women ahead of an election cycle.

A programme whose politics only ever push its generosity upward, and whose governance cannot correct a documented, CAG-flagged misallocation of this scale, should not be assumed to sustain its claimed benefits unchanged as currently designed.

| Fiscal space →<br>Political-Competitive Intensity ↓ | Abundant Fiscal Space             | Constrained Fiscal Space      |
|-----------------------------------------------------|-----------------------------------|-------------------------------|
| Low / Consensus                                     | Sustainable Welfare Consolidation | Fiscal Discipline & Targeting |
| High / Escalating                                   | Competitive Welfare Expansion     | Populist Fiscal Squeeze       |

Scenario Matrix 3: Fiscal space × Political-Competitive Intensity

## 4.5 Welfare state and Policy Trade-off

What rights and restrictions does a welfare state have for unconditional transfer of money? All states engage in redistribution by raising tax revenues and giving resources to some people at some time. Unlike market failure, there is no technical foundation for redistribution. It relies solely on the political preferences of each person. The state has a monopoly on violence and legitimacy over it, and thus establishes conditions where nobody but the state is permitted to engage in violence. All activities of the state are grounded in coercion, either directly or indirectly, whereby the state uses threats of violence to collect tax revenues and then spends them in a certain way. Redistribution is thus a subsidiary ground for coercion. The state may have a legitimate role in providing social protection, but that does not mean every form or scale of transfer is automatically justified. The real trade-off is between short-term welfare relief and long-term, growth-supporting investment. Do the benefits outweigh the costs?

## 5. Assess National Interest

Measured against five national priorities — macroeconomic stability, economic growth, managing inequality and poverty, welfare and development, and the Viksit Bharat 2047 agenda — UCTW's net alignment is negative on balance.

**Macroeconomic stability:** ₹1.7 lakh crore in annual spending across these schemes adds recurring pressure to state budgets at a time when the Economic Survey itself warns that such unconditional transfers risk widening deficits — working against the government deficit discipline that anchors India's macro-fiscal credibility with the RBI and bond markets (PRS Legislative Research, 2025; Economic Survey 2025-26).

**Economic growth (GDP and per-capita GDP):** Recurring revenue expenditure of this scale structurally competes with capital expenditure within the same state budgets. Every rupee spent on a recurring transfer is a rupee unavailable for infrastructure, health systems, or skilling investment.

**Managing inequality and poverty:** Short-term poverty and consumption-volatility relief is real, but it is an expensive way to deliver that relief, since eligibility typically rests on a self-declared income ceiling rather than verified need. The transfer is about as likely to reach a moderately well-off household as a genuinely poor one, a problem the Maharashtra verification drive documents directly.

**Welfare and development:** The policy delivers welfare in the narrow sense of consumption support, but "welfare and development" as a national priority implies durable capability-building, not recurring income maintenance. UCTW is a simulacrum of development. A periodically rising transfer amount is a poor substitute for substance: health, education, skills, and employment access.

**Viksit Bharat 2047:** India's developed-nation ambition requires sustained public capital formation and rising productivity, not an expanding base of recurring entitlement spending that is structurally difficult to reverse. A programme that credit-rating and public-finance observers already flag as a state fiscal risk works against this long-horizon national objective.

On every one of these five benchmarks, UCTW's net contribution is either negative or, at best, narrowly and expensively positive. No single benchmark shows the clear, strong alignment that would justify a recurring expenditure commitment of this scale.

## 6. Recommendations

**Primary recommendation:** Oppose UCTW.

This is not a recommendation to abandon support for women's economic security. This is a recommendation to stop financing that goal through this specific, poorly targeted, fiscally unsustainable instrument, and to redirect the same resources toward instruments that correct an established market failure.

1. Do not expand existing schemes or introduce new ones in states that have not yet adopted UCTW. Every additional state deepens the competitive-welfare-politics dynamic that has driven transfer amounts without proportionate evidence of improving outcomes.
2. Freeze transfer amounts and tighten eligibility immediately in existing schemes. We can draw examples from states that have already implemented verification drives — income-ceiling and asset checks, cross-department de-duplication, exclusion of government-employee and four-wheeler-owning households.
3. Redirect freed fiscal space toward instruments with a genuine market failure to correct: public health and nutrition services, girls' secondary-education retention, vocational skilling linked to verified labour demand, and childcare infrastructure enabling women who are already seeking work to take it up. These are merit goods in the technical sense, and UCTW is not.
4. Commission an independent, pre-registered evaluation of at least two major schemes before any further expansion is considered. Measure the full outcome chain and not just enrolment and disbursement. Include labour-force participation, intra-household expenditure allocation, and evidence of fund capture by male relatives.
5. Legislate a sunset-and-review clause into any transfer that continues, requiring explicit legislative re-authorisation on a fixed cycle based on the independent evaluation above, rather than allowing the programme to continue through fiscal and political inertia alone.
6. Mandate a standardised, comparable annual CAG-style audit of every state UCTW scheme, published on a common template. The divergence between Maharashtra's own ₹14,000 crore verification estimates and the independently reported ₹9,605 crore RTI-based figure shows that even basic leakage accounting is not currently standardised or reliable; without a common audit framework across states, neither Parliament, state legislatures, nor voters can judge the scheme's true cost with confidence.

## 7. Anticipated resistance, and why

**Political competition over welfare and "freebie" schemes** is the strongest source of resistance. Incumbent parties in major states have built an electoral strategy around these transfers. Opposition parties typically respond by promising a larger transfer rather than challenging the instrument itself. This recommendation will be read as a hard political cost for any single government that adopts it unilaterally, which is precisely why Recommendation 5 structures the correction as a legislated requirement rather than relying on any one government's political will.

**Public resistance from current beneficiaries** is a second predictable obstacle. Households have built these transfers into monthly budgeting, and withdrawal generates visible backlash. Any version of this recommendation requires a phased transition design to be politically survivable, even though the economic case for immediate correction is strong.

**Finance departments are a likely ally rather than an obstacle.** PRS and RBI state-finance assessments already flag these transfers as a structural fiscal risk, and state finance secretaries have reportedly raised internal concerns about the recurring commitment. Resistance is concentrated in the political executive, which captures the electoral benefit but does not internalise the fiscal cost.

**The "no market failure" claim will itself be contested.** Proponents will argue that unpaid care work and women's historical exclusion from financial systems constitute a genuine failure that income transfer corrects. Even granting that framing, income transfer is a blunt, unconditioned instrument for that specific problem: the same money spent on childcare infrastructure, financial literacy, or employment-linked skilling would target the underlying constraint more precisely, with a clearer evaluation pathway, at a fraction of the fiscal exposure.

## 8. Conclusion

UCTW's risks outweigh its benefits, which leads us to oppose the policy. The benefits are real but narrow, and evidenced weakly beyond first-order consumption effects. The policy is also already producing documented, large-scale administrative and fiscal failure at the state level that is structurally difficult to reverse. The appropriate response is not incremental reform of the cash-transfer instrument itself, but redirection of the same fiscal resources toward interventions where an established market failure justifies government correction.

## APPENDIX

### Steps 1–6 — background analysis

#### Step 1 — Understand the Policy and Analyze Objectives

##### What the policy is

Unconditional Cash Transfers to Women (UCTW) are recurring, monthly, Direct Benefit Transfer (DBT) payments made by state governments to adult women, without requiring any behavioral conditions (school attendance, institutional childbirth, employment, etc.) in return. Eligibility is typically an age band plus a self-declared household income ceiling. Delivery runs on India's JAM infrastructure (Jan Dhan accounts, Aadhaar authentication, mobile-linked DBT).

**Table 1 — Major state UCTW schemes (2025-26)**

| State              | Scheme                                      | Eligibility       | Benefit (₹/month) | Budget (₹ crore, BE 2025-26) |
|--------------------|---------------------------------------------|-------------------|-------------------|------------------------------|
| Assam              | Orunodoi                                    | Women 18+         | 1,250             | 5,000                        |
| Chhattisgarh       | Mahtari Vandan Yojana                       | Married women 21+ | 1,000             | 5,500                        |
| Delhi              | Mahila Samriddhi Yojana                     | —                 | 2,500             | 5,110                        |
| Himachal Pradesh   | Indira Gandhi Pyari Behna Sukh Samman Nidhi | Phased, 18–59     | 1,500             | 138                          |
| Haryana            | Lado Laxmi Yojana                           | Women 18+         | 2,100             | 5,000                        |
| Jharkhand          | CM Maiyan Samman Yojana                     | 18–50             | 2,500             | 13,363                       |
| Karnataka          | Gruha Lakshmi Yojana                        | —                 | 2,000             | 28,608                       |
| Maharashtra        | Mukhyamantri Majhi Ladki Bahin Yojana       | 21–65             | 1,500             | 36,000                       |
| Madhya Pradesh     | Mukhyamantri Ladli Behna Yojana             | 21–60             | 1,250             | 18,669                       |
| Odisha             | Subhadra Scheme                             | 21–60             | 833               | 10,145                       |
| Tamil Nadu         | Magalir Urimai Thogai                       | 21+               | 1,000             | 13,807                       |
| West Bengal        | Lakshmir Bhandar Scheme                     | 25–60             | 1,000–1,200       | 26,700                       |
| TOTAL (12 schemes) |                                             |                   |                   | ≈1,68,040                    |

Source: group data collection, cross-checked against state budget documents (2025-26); total is the sum of the twelve schemes' budgeted provision and is consistent with the Economic Survey 2025-26's estimate that these transfers add roughly ₹1.7 lakh crore to state fiscal deficits (Down To Earth, 2026).

## Stated objectives (by theme)

- **Economic empowerment / financial self-reliance** — Ladli Behna (MP), Gruha Lakshmi (Karnataka), Ladki Bahin (Maharashtra), Maiyan Samman (Jharkhand), Subhadra (Odisha), Lado Laxmi (Haryana), Mahtari Vandan (Chhattisgarh), Lakshmir Bhandar (West Bengal).
- **Poverty alleviation / support for economically weaker households** — Orunodoi (Assam), Lakshmir Bhandar (West Bengal).
- **Health and nutrition improvement** — named explicitly alongside economic self-reliance by Ladli Behna, Mahtari Vandan, and Ladki Bahin.
- **Recognition of unpaid domestic and care work** — the lead framing for Magalir Urimai Thogai (Tamil Nadu); touched on by Mahtari Vandan via "decision-making role within the family."
- **Dignity and social standing of women** — explicit in Lakshmir Bhandar's framing ("financial support and dignity"); echoed by Gruha Lakshmi ("strengthen women socially").
- **Enterprise/livelihood generation**, distinct from recurring consumption support — Bihar's Mukhyamantri Mahila Rozgar Yojana (seed-money model), included here for contrast with the recurring-transfer design that dominates the other schemes.

## Unstated (covert) objectives

- Electoral mobilisation of women as an identifiable voting bloc ahead of a specific state election — the primary unstated objective, and the one carried as a distinct "Objective 5" in the Step 5 matrix below.
- Competitive welfare signalling between parties and states, independent of demonstrated need or evidence of effectiveness.
- Expansion of the state's recurring financial relationship with individual households, independent of the policy's stated welfare goal.

## Step 2 — Stakeholder Mapping

### Stakeholders

- Women beneficiaries
- Political executive (Chief Minister, Cabinet)
- State Finance Department
- Implementing department (Women & Child Development / Social Welfare / Rural Development)
- District administration, Panchayats, Urban Local Bodies
- Payment and financial infrastructure (Treasury, Banks, DBT/NPCI)
- SHGs, NGOs, CSOs
- Taxpayers and future taxpayers

## Concerns, interests and incentives

| Stakeholder                                                              | Concerns                                                                                          | Interests                                                               | Incentives                                       |
|--------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|--------------------------------------------------|
| Women beneficiaries                                                      | Eligibility exclusions, documentation, bank access, payment delays, inflation, control over money | Assured monthly income, security, ability to meet household expenses    | Financial benefit, dignity, autonomy             |
| Political executive- Chief Minister, State Cabinet, Political leadership | Financial commitment, beneficiary expectations, public criticism on failure                       | Women's welfare, political gains/votes, visibility, financial inclusion | Electoral accountability; programme credibility  |
| Finance Department                                                       | Continuous expenditure burden, sustainability, competing priorities                               | Accurate forecasting, resource allocation, fiscal sustainability        | Efficient allocation of state resources          |
| Implementing department                                                  | SOP clarity, inter-department coordination, database errors, grievances                           | Full coverage, smooth operations, reliable records, timely payment      | Programme performance; institutional credibility |
| District/local administration                                            | Limited capacity, coordination gaps, beneficiary validation disputes                              | User-friendly delivery, high coverage, accurate database                | Administrative performance                       |
| Payment infrastructure (Treasury/Banks/DBT)                              | Failed transactions, KYC issues, duplicate payments, processing delays                            | Reliable, high-success-rate payments; access to banking services        | Financial inclusion                              |
| SHGs/NGOs/CSOs                                                           | Exclusion of eligible women, awareness gaps, digital barriers                                     | Inclusion of women, better access to schemes                            | Community welfare                                |
| Taxpayers / future taxpayers                                             | Debt burden, opportunity cost of revenue expenditure                                              | Efficient, accountable public spending                                  | Long-run fiscal sustainability                   |

## Power–Interest mapping (Mendelow grid)

| Stakeholder                        | Power                               | Interest | Management category |
|------------------------------------|-------------------------------------|----------|---------------------|
| Political executive                | High                                | High     | Actively Manage     |
| State Finance Department           | High                                | High     | Actively Manage     |
| Implementing department            | High                                | Some     | Keep Satisfied      |
| Payment & financial infrastructure | High                                | Some     | Keep Satisfied      |
| Women beneficiaries                | Some (high collectively, via votes) | High     | Keep On Side        |
| District/local administration      | Some                                | High     | Keep On Side        |
| SHGs / NGOs / CSOs                 | Little                              | High     | Keep Informed       |
| Taxpayers / future taxpayers       | Little                              | Some     | Watch               |

## Step 3 — Select Evaluation Criteria (Test of Values)

### Constitutional values

- Equality and non-discrimination: Article 15(3) permits special provisions for women. Does the policy advance substantive equality, or does its unconditional, unverified design undermine the equal, non-arbitrary treatment?
- Social and economic justice (DPSP, Article 38): the State is directed to promote welfare and reduce inequality. Does the policy reduce economic inequality efficiently, or does its poor targeting dilute this goal relative to better-aimed instruments?

### Takshashila core values

- Freedom: does unconditional cash genuinely expand women's choice, or is the "freedom" argument undermined where documented household capture diverts the transfer from the intended decision-maker?
- Pluralism: does a flat, unconditional design accommodate India's diversity of household structures and needs, or does uniform eligibility (a single income ceiling) ignore meaningfully different circumstances that a more differentiated instrument would address?
- Realism: is the policy fiscally and administratively sustainable given the state capacity evidence in Step 4 below? The Maharashtra findings suggest not, at current design and scale.
- Responsible citizenship: does the policy strengthen citizens' constructive participation in the state, or does it risk normalising a transactional, dependency-oriented relationship between citizen and state that is difficult to unwind?

### Criteria derived from stated/unstated objectives

- Effectiveness: does the transfer actually improve the intended outcomes — economic empowerment, financial self-reliance, health/nutrition, social standing?
- Efficiency: does the scheme deliver proportionate benefit for the money spent?
- Equity: are benefits reaching the women who need them most, or are there material inclusion/exclusion errors? Is an unconditional, universal-leaning design fair relative to a verified, targeted one?
- Fiscal sustainability: can the government continue financing the scheme without materially crowding out other priority expenditure?
- Administrative feasibility: do eligible women access the transfer easily and reliably, and can the state reliably exclude ineligible claimants?

## Step 4 — Project the Outcomes

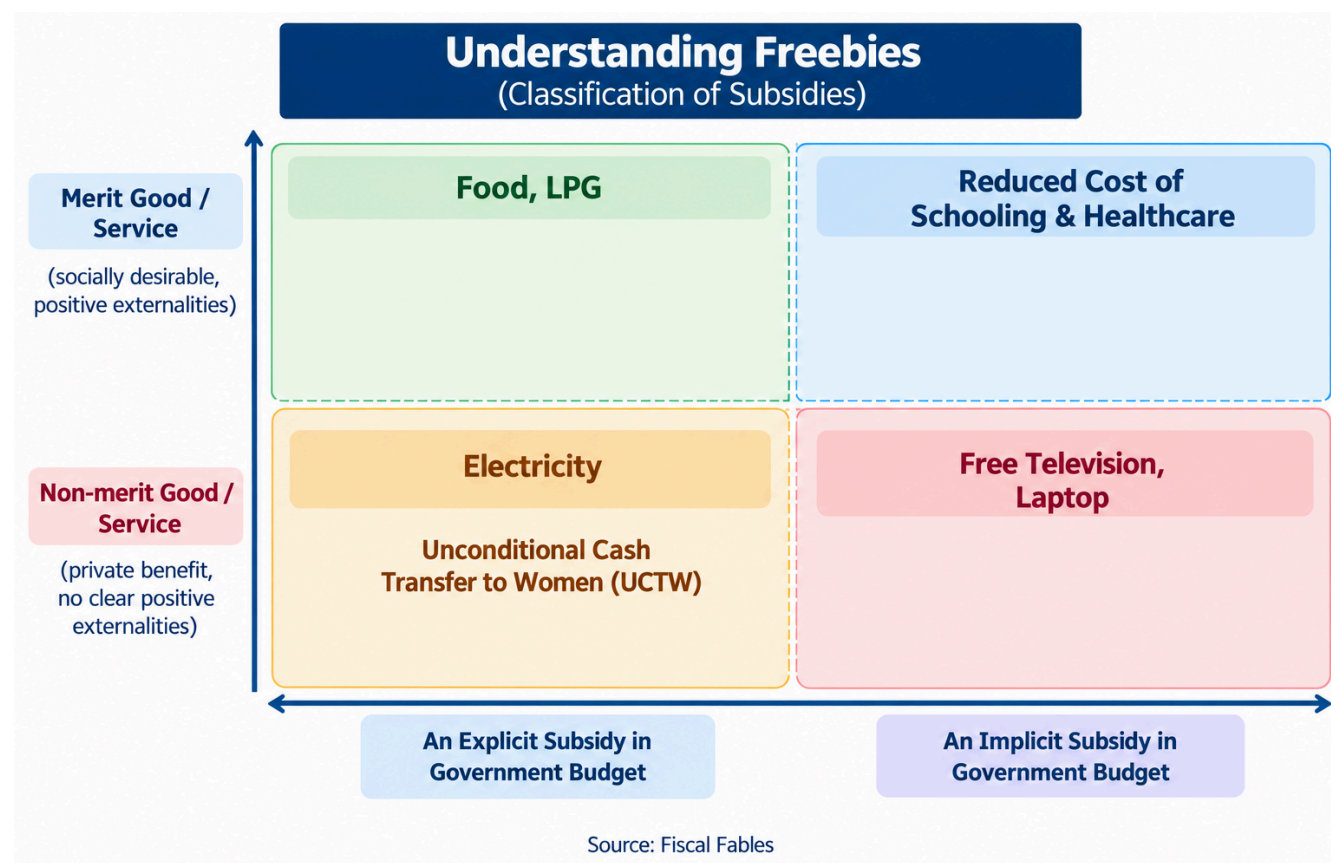
### What kind of failure is being addressed?

There is no market failure. UCTW does not correct an externality, an information asymmetry, or a public-goods under-provision problem of the kind that justifies government intervention in standard welfare economics. Any positive externality claimed (e.g., spillover consumption benefits to children) is both theoretically weak and, given typical transfer sizes relative to household income, empirically too small to be significant. In the absence

of a market failure, the policy is better classified as a case of government failure: intervention that does not correct markets but substitutes political judgement for them, generating its own distortions (see unintended consequences below).

### Is UCTW a merit good?

A merit good is one that is under-consumed relative to the social optimum because of an information failure or myopia — e.g. education or vaccination — such that government correction of that specific consumption failure raises welfare. Unconditional cash does not fit this definition: there is no specific good whose under-consumption is being corrected, because cash is fully fungible and the state exercises no control over its end use. The claim that UCTW is a merit good conflates "a good cause" with the technical economic criterion for merit-good status; by the latter standard, it is a transfer, not a merit good, and should be evaluated purely as a fiscal-efficiency question rather than exempted from one.



## Policy tool employed

Marginally changing incentives (raising disposable income at the margin) combined with Direct-Implementation/"DIY" delivery through state-run DBT infrastructure.

## State capacity

DBT/payment capacity is strong — Aadhaar, JAM, and UPI infrastructure function well. Capacity is weak, however, exactly where it matters most for this design: (i) beneficiary identification (the "eligible woman" rule, verified income/asset certification), (ii) grievance redress, (iii) fiscal forecasting, and (iv) independent evaluation. A cash-transfer tool relies on the state's strongest capacity layer for disbursement, which is why it spreads easily across states — but the verification and evaluation functions that would make it a genuinely effective instrument rely on the weakest layer, which is why leakage of the Maharashtra kind recurs.

## Unintended consequences to watch

- Transfer capture by male household members
- Localised price inflation in supply-constrained markets
- Reduced incentive to remain in low-paid formal work in marginal cases
- Exclusion errors hitting the poorest (no bank access, no documents)
- Political weaponisation of eligibility criteria around election cycles
- Erosion of state capacity for direct service delivery, as cash becomes the politically easier substitute

## Brainstorming Outcomes #1 Evidence: Maharashtra's Ladki Bahin Yojana

A state-wide verification drive (begun September 2025) removed 92 lakh beneficiaries — about 38% of the scheme's 2.46 crore rolls — for reasons including age above 65 (1.8–2.87 lakh cases), four-wheeler ownership or dual-scheme enrolment (≈1.6–1.7 lakh), and household government employment (4.42 lakh disclosed). Officials estimate the since-removed beneficiaries collectively received approximately ₹14,000 crore before payments stopped. Separately, audits found between roughly 14,300 and 29,000 men had fraudulently registered as women. The CAG's State Finances Audit Report 2024-25 found the implementing department's actual expenditure (₹33,237 crore) exceeded its authorised budget (₹29,693 crore) by ₹3,541 crore, and that ₹15,586 crore withdrawn between January and March 2025 was parked in Virtual Personal Deposit Accounts rather than disbursed on need. The state government has stated that recovered funds will be sought only from male and government-employee claimants, not from the broader pool of ineligible beneficiaries, citing the political cost of recovery (Outlook India, 2026; OpIndia, 2026; The Federal, 2026).

**Loop colours**

- 1 Fiscal pressure / crowding out
- 2 Political economy / electoral ratchet
- 3 Women's agency / household bargaining
- 4 Higher order / sustained improvement
- 5 Administrative outcomes

**Causal link**

- Positive link (stronger / more certain)
- - - Negative link (opposite direction)
- - - Weaker link (uncertain)

**Other symbols**

- Central policy UCTW (Unconditional Cash Transfers to Women)
- Policy loop element (noun)
- R Reinforcing loop
- B Balancing loop

### Brainstorming Outcomes #3 Theory of Change

| Inputs                                                                                                                                                                                                                          | Activities                                       | Outputs                                                                                                        | Outcomes                                                                                                                                                                                                                                                                 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------|----------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Financial capital (state budget, treasury releases); human capital (district administration, Panchayats, bank correspondents, Anganwadi workers); material infrastructure (Aadhaar, NPCI, banking network, mobile connectivity) | DBT transfer; eligibility verification (nominal) | Women receive monthly transfer; bank accounts activated; household liquidity and digital transactions increase | Medium-term: higher food expenditure, improved consumption smoothing, some increase in financial autonomy. Long-term: claimed poverty reduction, human-capital gains and bargaining power (weak/mixed evidence); documented fiscal stress and leakage (strong evidence). |

### Expected outcomes

**Anticipated intended:** short-term poverty relief; incremental increase in women's reported agency over small purchases; modest household welfare gains; financial inclusion (bank-account activation).

**Anticipated unintended, negative:** fiscal stress and crowding-out of capital expenditure; large-scale targeting leakage (as demonstrated in Maharashtra); political irreversibility — once introduced, the transfer is very difficult to withdraw or reduce even where evidence or fiscal capacity no longer support it ("a permanent fiscal crutch").

## Step 5 — Construct the Outcomes–Objectives Matrix

Legend: ++ strongly positive · + positive · 0 negligible · – negative · – – strongly negative · NA not applicable.

| Objectives ↓ /<br>Outcomes →               | Poverty<br>reduction | Women's<br>agency /<br>autonomy | Fiscal burden | Household<br>welfare<br>(2nd-order) | Intergenerational<br>upliftment<br>(3rd-order) |
|--------------------------------------------|----------------------|---------------------------------|---------------|-------------------------------------|------------------------------------------------|
| 1. Economic<br>empowerment /<br>livelihood | NA                   | +                               | – –           | 0 / –                               | ?                                              |
| 2. Poverty alleviation                     | ++                   | NA                              | – –           | +                                   | ?                                              |
| 3. Health & nutrition<br>improvement       | NA                   | NA                              | – –           | +                                   | ?                                              |
| 4. Recognition & dignity                   | NA                   | +                               | –             | +                                   | ?                                              |
| 5. Electoral mobilisation<br>(unstated)    | NA                   | ++                              | –             | +                                   | ?                                              |

Reading the matrix: the Fiscal burden column is negative to strongly negative against every objective — it is the one column with no positive entry anywhere in the matrix. The Intergenerational upliftment column is marked "?" throughout: every stated objective's third-order effect is genuinely uncertain, resting on the weakest evidence in the causal chain (see Step 4). A policy whose only unambiguous, strongly-evidenced column is its cost column, while its most ambitious claimed benefit is marked uncertain against every objective, fails the Step 6 test of net alignment.

## Scheme by scheme

| Scheme / State                             | Effectiveness (Outcomes) | Efficiency (Benefit/₹) | Equity (Targeting) | Fiscal sustainability (Pressure) | Administrative feasibility |
|--------------------------------------------|--------------------------|------------------------|--------------------|----------------------------------|----------------------------|
| Orunodoi / Assam                           | ↑                        | ?                      | ↑                  | ↔                                | ↑                          |
| Mahtari Vandan / Chhattisgarh              | ?                        | ?                      | ↑                  | ↓                                | ↑                          |
| Delhi Lakshmi / Delhi                      | ?                        | ?                      | ↑                  | ?                                | ?                          |
| Pyari Behna / Himachal Pradesh             | ?                        | ?                      | ↑                  | ↓↓                               | ?                          |
| Lado Lakshmi / Haryana                     | ?                        | ?                      | ↑                  | ↓                                | ?                          |
| Maiyan Samman / Jharkhand                  | ?                        | ?                      | ↔                  | ↓↓                               | ↑                          |
| Gruha Lakshmi / Karnataka                  | ↑                        | ?                      | ↔                  | ↓↓                               | ↔                          |
| Majhi Ladki Bahin / Maharashtra            | ?                        | ?                      | ↓                  | ↓                                | ↓↓                         |
| Ladli Behna / Madhya Pradesh               | ?                        | ?                      | ↔                  | ↓↓                               | ↑                          |
| Subhadra / Odisha                          | ?                        | ?                      | ↑                  | ↓                                | ↑                          |
| Magalir Urimai Thogai / Tamil Nadu         | ↑↑                       | ?                      | ↑                  | ↓                                | ↑                          |
| Lakshmir / Annapurna Bhandar / West Bengal | ?                        | ?                      | ↔                  | ↓↓                               | ↑                          |

↑↑ Strong positive    ↑ Positive    ↔ Mixed / neutral    ↓ Concern    ↓↓ Strong concern

? Insufficient evidence    NA Not applicable

## Step 6 — Categorise the Position and Confront Trade-offs

**Position: Oppose (No).** Fundamentally flawed, with risks outweighing benefits.

The matrix above shows a policy that performs adequately on narrow, first-order, short-term measures (poverty relief, reported agency over small purchases) but fails decisively on the criterion that most directly threatens the other four Takshashila/constitutional values tested in Step 3: fiscal sustainability. Because fiscal failure is not merely one more criterion among several but a precondition for the state's ability to deliver on every other welfare objective over time, a strongly negative, well-evidenced fiscal-burden outcome is sufficient on its own to tip the overall assessment to Oppose, even where other cells of the matrix are positive. This is reinforced by the Step 4 finding that no market failure justifies the intervention in the first place, and by the Maharashtra evidence that the administrative capacity to run the scheme as designed does not yet exist at the scale required.

This is not a case for "Improve": the core problem is not a fixable design flaw (eligibility rules, verification processes) layered on a sound underlying instrument. It is that the instrument itself — unconditional, untargeted cash, substituting for a merit good or market-failure correction that does not exist here — is the wrong tool for the stated objectives, regardless of how well it is administered. The brief's recommendations therefore call for redirection of resources to alternative instruments, not incremental repair of UCTW.

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